upon the assets securing them, as distinguished from the going-concern value of the enterprise as a whole. The most characteristic of these, perhaps, is the railroad-equipment trust certificate, secured by title to locomotives, freight cars, or passenger cars, and by the pledge of the lease under which the railroad is using the equipment. The investment record of these equipment obligations is very satisfactory, particularly because until recently even the most serious financial difficulties of the issuing road have very rarely prevented the prompt payment of interest and principal.[1] The primary reason for these good results is that the specific property pledged is removable and usable by other carriers. Consequently it enjoys an independent salable value, similar to automobiles, jewelry, and other chattels on which personal loans are made. Even where there might be great difficulty in actually selling the rolling stock to some other railroad at a reasonable price, this mobility still gives the equipment obligation a great advantage over the mortgages on the railroad itself. Both kinds of property are essential to the operation of the line, but the railroad bondholder has no alternative save to permit the receiver to operate his property, while the holder of the equipment lien can at least threaten to take the rolling stock away. It is the possession of this *alternative* which in practice has proved of prime value to the owner of equipment trusts because it has virtually compelled the holders even of the first mortgages on the road itself to subordinate their claim to his.

It follows that the holder of equipment-trust certificates has two separate sources of protection, the one being the credit and success of the borrowing railway, the other being the value of the pledged rolling stock. If the latter value is sufficiently in excess of the money loaned against it, he may be able to ignore the first or credit factor entirely, in the same way as a pawn-broker ignores the financial status of the individual to whom he lends money and is content to rely exclusively on the pledged property.

The conditions under which equipment trusts are usually created supply a substantial degree of protection to the purchaser. The legal forms are designed to facilitate the enforcement of the lienholder's rights in the event of nonpayment. In practically all cases at least 20% of the cost of the equipment is provided by the railway, and consequently the amount of the equipment obligations is initially not more than 80% of

[1] See Appendix Note 17 for information on the investment record of such issues.